25901166 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Core Course (DSC) - MG4DSCCOM200 - CORPORATE ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 hour **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions

Answer any **12** questions

Each question carries **1** marks

1. The global body that issues IFRS is known as _____. [U] / [CO1]
2. The maximum discount allowed on reissue of forfeited shares is equal to the amount _____ on those shares [U] / [CO2]
3. Preference shares are said to be _____ when the company repays their capital to the holders. [U] / [CO2]
4. Give the journal entry for receipt of first call money. [U] / [CO2]
5. The document inviting the public to subscribe to a company's shares is called a _____. [U] / [CO2]
6. Which type of company has only one member? [U] / [CO2]
7. Name any two reserve which is used for the issue of fully paid-up bonus shares. [U] / [CO2]
8. Which item appears first under the head 'Expenses' in the Statement of Profit and Loss? [U] / [CO3]
9. Identify the head for Deferred Tax Liability. [U] / [CO3]

10. Why is an increase in current liabilities added in cash from operations? [U] / [CO4]

11. Sale of furniture for cash falls under which activity? [U] / [CO4]

12. Alteration of share capital of a company is done in section .... of the Companies Act. [U] / [CO6]

13. Reorganisation of cpital within the company is called ..... [U] / [CO6]

14. After reconstruction, assets are written down by ₹40,000 and liabilities are reduced by ₹55,000. What amount will be transferred to Capital Reserve? [A] / [CO6]

[1x12 = 12]

Part B

Short Answer/ Problem Type Questions

Answer any **4** questions

Each question carries **7** marks

15. Kawasaki Ltd. issued 60,000 shares of ₹10 each payable as follows: [A] / [CO2]
    On Application ₹2
    On Allotment ₹3
    On First call ₹2
    On Final call ₹3
    All moneys were received except the following:
    (a) 'A', the holder of 3,000 shares failed to pay the allotment and calls.
    (b) 'B', the holder of 2,000 shares failed to pay the two calls.
    (c) 'C', the holder of 1,000 shares failed to pay the final call.
    All the above shares were forfeited after the final call. Subsequently the forfeited shares were reissued at a discount of 10%. Give journal entries.

16. Explain the advantages and disadvantages of a bonus issue. [U] / [CO2]

17. The Balance sheet of KSH Ltd is as follows; [A] / [CO2]

Particulars	Note No.	Amount (Rs.)
Equity and Liabilities		
Shareholders Fund		
Share Capital		
40,000 equity shares of Rs. 10 each 7.50 3,00,000		
30,000 Equity shares of Rs. 10 each, fully paid-up 3,00,000		6,00,000
Reserve and Surplus		
General Reserve 1,50,000		

Plant Revaluation Reserve 30,000		
Capital Redemption Reserve 1,50,000		
P and L A/c 1,50,000		
Securities Premium 50,000		5,30,000
Current Liabilities		
Trade payables		2.70,000
		14,00,000
Assets		
Non-current Assets		
Fixed Assets		8,30,000
Current Assets		
Inventories		2,20,000
Trade receivables		1.50,000
Cash and cash equivalents		2,00,000
		14,00,000

The company decided to convert the partly paid-up shares into fully paid-up equity shares by way of bonus and to issue bonus shares to fully paid-up shareholders in the same ratio.

Provide journal entries for the above transaction with minimal utilisation of free reserves.

18. Explain with example each the following [U] / [CO3]

a. Long term borrowings and short-term borrowings

b Provisions and short-term provisions

c. Trade payables and trade receivables

19. From the following particulars, calculate Net Cash Flow from Investing Activities. [A] / [CO4]

Particulars	**31.03.20x0 (₹)**	**31.03.20x1 (₹)**
Goodwill	1,10,000	90,000
Patents	90,000	1,15,000
Land	1,00,000	90,000
Plant & Machinery (Net)	1,80,000	1,60,000

Furniture (Cost)	2,00,000	4,25,000
Provision for Depreciation on Furniture	20,000	42,500
10% Non-current Investments	1,50,000	1,10,000
10% Current Investments	50,000	60,000

20. The share capital of a company consists of 2,00,000 lakh shares of 10. The following scheme of reconstruction was approved by the court. [A] / [CO6]

i. To reduce the paid up capital by 5 per share.

ii. To write off Goodwill₹ 4,50,000 and debit balance in Profit and Loss Account, ₹ 2,00,000

iii. To write down the plant and machinery by ₹2,50,000

iv. Reconstruction expenses amounted to ₹ 20,000 Give Journal Entries

[7x4 = 28]

Part C

Essay- Problem Type Questions

Answer any **2** questions

Each question carries **15** marks

21. The following ledger balances of Light Ltd as on 31.03.20XX [A] / [CO3, CO5]

Debit Balances	₹	Credit balances	₹
Opening inventory	9,000	Equity share capital (30,000 shares of ₹ 10 each, 8 paid up)	2,40,000
Purchases of stock in trade	40,800	General reserve	54,000
Wages	3,000	Surplus A/c	39,000
Salaries	3,600	8% debentures	90,000
Office expenses	8,400	10% Bank Laon	30,000
Debtors	72,000	Revenue from operations	1,32,000
Bills receivables	900	Creditors	12,000
Furniture	90,000	Bills payable	3,000
Plant & Machinery	1,80,000		
Insurance	3,900		
Investment in shares of Dim Ltd	1,50,000		
Interest on debentures	7,200		

Interest on bank loan	3,000	
Cash at bank	4,500	
Cash in hand	14,700	
Depreciation on plant & machinery	9,000	
	6,00,000	6,00,000

Adjustments

1. Closing inventory ₹ 24,900
2. Provision for taxation ₹ 15,000
3. Transfer to general reserve ₹ 18,000

Prepare final accounts of Light Ltd as per Schedule III of the Companies Act 2013

22. From the following information prepare Cash flow Statement using Direct Method: [A] / [CO4, CO5]

- Sales for the year Rs.48,00,000.The company sold goods for cash only.
- Cost of goods sold was 75% of sales.
- Closing Inventory was higher than Opening Inventory by Rs.50,000
- Tax paid amounts to Rs.1,50,000.
- Amounts paid to creditors was Rs.35,50,000
- Administrative and selling expenses paid was Rs.3,60,000.
- One new machinery was acquired was Rs.6,00,000.
- Dividend paid during the year was Rs.1,20,000.
- Cash in hand at the end was Rs.70,000.
- Cash in hand at the beginning was Rs.50,000.

23. Following is the balance sheet of CEEBEE Ltd. as on 31-3-20xx [A] / [CO5, CO6]

Particulars	*Note No*	*Amount*
I Equity and Liabilities		
1.Shareholders Fund:		
a)Share capital		
Equity shares of Rs. 100 Each fully paid		*4,00,000*
7% preference shares of Rs. 100 each		*3,00,000*
b)Reserves and surplus		
Profit and Loss account		*(2,70,000)*
Preliminary expense		*(25000)*
2.Share application money pending allotment		
3.Non current liabilities		
6% debentures		*3,00,000*
4.Current liabilities		

Sundry creditors		*2,00,000*
Profit prior to incorporation		*10,000*
Total		*9,15,000*
II Assets		
1)Non Current Assets		
Buildings		*1,50,000*
Machinery		*3,00,000*
Patents		*30,000*
Goodwill		*60,000*
2)Current assets		
Inventories		*2,20,000*
Debtors		*1,50,000*
Cash		*5000*
Total		*9,15,000*

Following scheme of reconstruction was duly approved:

a) 7% preference shares was to be converted in to 10% preference shares, the amount being reduced by 40%

b) Equity shares be reduced to fully paid shares of Rs.50 each

c) L&B appreciated by 30%

d) Debentures be reduced by 20%

e) All intangible assets and fictitious assets including patent be written off. Utilize profit prior to incorporation, if necessary

f) Equity share holders to subscribe equity shares of Rs.1,00,000 the amount to be utilized to acquire plant &machinery

Give journal entries and amended Balance sheet

[15x2 = 30]